

time. Each month, we had a new set of rankings, and we assumed we held those portfolios (one for each decile) for one year. We did that for every month in the last 23 years, beginning with the first month of the Compustat Point-in-Time database. It turned out that Decile 1 beat Decile 2, 2 beat 3, 3 beat 4, and so on all the way down through Decile 10, which consisted of bad businesses that were nonetheless expensive. There was a huge spread between Decile 1 and Decile 10: Decile 1 averaged more than 15 percent a year, while Decile 10 lost an average of 0.2 percent per year.

Since there is such consistency in the relative performance between deciles, wouldn't buying Decile 1 stocks and selling Decile 10 stocks provide an even a better return/risk strategy than simply buying Decile 1 stocks?

My students and hundreds of e-mails asked the exact same question you just did. The typical comment was, "I have a great idea, Joel. Why don't you simply buy Decile 1 and short Decile 10? You'll make more than 15 percent a year, and you won't have any market risk." There's just one problem with this strategy: Sometime in the year 2000, your shorts would have gone up so much more than your longs that you would have lost 100 percent of your money.

This observation illustrates a very important point. If I wrote a book about a strategy that worked every month, or even every year, everyone would start using it, and it would stop working. Value investing doesn't always work. The market doesn't always agree with you. Over time, value is roughly the way the market prices stocks, but over the short term, which sometimes can be as long as two or three years, there are periods when it doesn't work. And that is a very good thing. The fact that our value approach doesn't work over periods of time is precisely the reason why it continues to work over the long term. Our formula forces you to buy out-of-favor companies, stocks that no one who reads a newspaper would think of buying, and hold a portfolio consisting of these stocks that, at times, may underperform the market for as long as two or three years. Most people can't stick with a strategy like that. After one or two years of underperformance, and usually less, they will